

unorganised sector or traditional economy. The unorganised sector or traditional economy. The unorganised sector is defined to include “all unincorporated enterprises and household industries – other than organised ones and which do not maintain annual accounts and balance sheets.” During the last couple of decades, organised sector has been growing faster than the unorganised sector. This trend has been facilitated by policies like reduction in excise duties and tariffs. It indicates growing modernisation in the organisation pattern of the economy.

However, notwithstanding all these changes and trends towards modernisation, the unorganised sector continues to dominate the economy with two-thirds of the National Domestic Product (NDP) and this is not due only to the agricultural sector. In fact, the unorganised sector is to be found not only in the unincorporated and individually-owned, if not also in the individually-operated, enterprises, in most other sectors of industrial origin, except, of course, public administration and defence. A basic change here could influence the economy considerably.

2.3.4 Share of Rural and Urban Sectors in Output and Employment

A classification of the economy between rural and urban areas is useful for a study of the organisational set-up of industries, the type of activities dominating the economic system in the rural and urban areas and the way of living of the population residing in areas categorised under the two groups. Information relating to rural-urban distribution of domestic product is available from various research surveys and studies, including those by the NCAER. During the last two decades the rural economy has grown much faster (7.5 per cent per annum) compared to urban (5.6%) on the back of strong growth in the rural non-farm sector. As a result, whereas in 1980-81, the rural sector accounted for 41 per cent of the GDP, in 2010-11 this proportion has been estimated at 51 per cent, i.e., the rural sector is estimated to have overtaken the urban sector.

Growth in per capita income in rural India has been almost double compared to urban India, though on a much lower base. It would mean that the fruits of economic reforms are finally getting filtered down to rural areas.

Another important feature is that the rural economy is no more predominantly agrarian. Whereas in 1970-71, 73.8 per cent of the rural GDP got generated in the farm sector, this proportion has declined to 41.6 per cent in 2010-11, i.e., about 60 per cent of rural GDP gets generated in the non-farm sector. Moreover, rural India has been far more resilient in the face of the abrupt turn around in the economy than the rest of India. There are several reasons for this.

- i) The government is no longer spending only on programmes that deliver the final product to the beneficiaries – whether in the form of subsidised food, electricity or building a dam to provide irrigation water to farmers – but has added a new dimension wherein funds are transferred to the beneficiary. This, in fact, gives the beneficiaries the freedom to spend the money and mitigate leakages.
- ii) India’s agriculture has been at the receiving end of a clutch of positive imperatives. Between 2004-05 and 2011-12, MSPs were raised for common paddy by 40 per cent and for wheat by 80 per cent, while inflation between these two periods rose by around 24 per cent.

- iii) The global commodities boom has ensured new agricultural export markets that strangely seem insulated, even after the onset of a global recession.
- iv) Farmers have hardly seen an increase in input costs, with the exception of higher wages for labourers in the recent past, ensuring that their surpluses are maximised.
- v) Rural areas are now significantly more connected to the rest of India, largely due to fast spread of mobile phones and road network.
- vi) Several thousand farmers across the country have benefited from the farm loan waiver scheme.

2.3.5 Share of Consumption, Government Spending, Investment and Net Exports in GDP

As per 'India Development Update' report released by the World Bank in 2018—the share of consumption in GDP has been consistently declining, particularly the Private Consumption, while the share of Investment and Exports has increased. While private consumption accounted for nearly four-fifth of GDP in the early 1970s, this share declined to about three-fifth in 2017. Despite its declining share, consumption growth has been a key driver of aggregate GDP growth, contributing on an average 3.76 percentage points to growth annually between 1971 and 2017. After a small increase over recent decades, government expenditure has stabilised at nearly 12 per cent of GDP. Equally salient is the steady increase in the rate of investment. The period 2004-2008 witnessed an investment boom with the Gross Fixed Capital Formation (GFCF) to GDP increasing from 30.7 per cent to 34.7 per cent in 2008. Post the global financial crisis, this ratio moderated to 31 per cent in 2013. The moderation in the GFCF to GDP ratio continued in the period from 2014-17. The ratio declined from 30.1 per cent in 2014 to 28.6 per cent in 2017. The ratio picked up to 29.4 per cent in 2018. Moderation in GFCF, a measure of fixed asset creation raises concerns about growth of output in the economy.

India has also become more integrated into the global economy, with its trade ratio—the ratio of exports and imports to GDP—adding up to about 40 per cent of GDP in 2017, five times the ratio of 7.6 per cent in 1971, yet lower than the peak ratio of 57 per cent in 2014. Exports as a per cent of GDP tripled from 7.3 per cent in 1991 to 22 per cent in 2007, and were 25.5 per cent of GDP in 2014. The contribution of net exports to growth has been muted, with import growth exceeding export growth in a majority of years.

2.3.6 Share of the Public and the Private Sector in GDP

As per 'India Development Update' report released by the World Bank in 2018—historically, public and private investment contributed approximately equally to total investment, but the role of public investment in growth has diminished over time. After peaking at 12.7 per cent of GDP in 1986-87, public and private investment started to diverge, with public investment accounting for only approximately 7 per cent of GDP in more recent years, compared to private investment exceeding 20 per cent of GDP.

- 1) Discuss the significant factors highlighting the structural change in the Indian Economy.

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- 2) Consumption spending as a component of national income has been contributing majorly to the economic growth in India. Do you agree?

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- 3) Discuss the reasons behind growing contribution of the Rural Economy in India.

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2.4 THE RISE OF TERTIARY SECTOR: COMPOSITION, CAUSES AND PROSPECTS

2.4.1 Composition of the Service Sector

A recent study divides the service sector into three parts. Group 1 comprises traditional services such as trade, transport, public administration, defence; Group 2 includes hotels, education, health and community and social services; and Group 3 is the modern services sector, including financial services, computer services, business services, communications, and legal and technical services. The share of Group 1 activities has stagnated, which is in accordance with the trend in the OECD (Organisation for Economic Cooperation and Development) countries. The rise in the share of Group 2 services too is in line with the trend. But what is unusual is the rapid rise in Group 3 services since 1990. Contribution of communications, business services, and financial services has in fact risen to the point where it contributes more to growth of GDP than manufacturing. In particular, communications, business services, financial services, education, health and hotels accounted for roughly half of total growth of the service sector in 2000-20.